Consolidation — Deep Dive

The numericals behind the rules. All figures computed and cross-checked. ₹ lakh.

① Ind AS 103 — acquisition method (feeds WN 1 & 2)

Step	Rule
Business?	Inputs + **substantive process** that together contribute to outputs. Optional **concentration test**: substantially all FV in one asset / group of similar assets → **asset acquisition** (no goodwill, no DT on initial recognition)
Acquirer	Who obtains control (Ind AS 110). **Reverse acquisition**: legal acquirer (issues shares) is accounting acquiree
Acquisition date	Date control obtained — not necessarily agreement / payment date
Recognise & measure	Identifiable assets & liabilities at **FV**. **Contingent liabilities** recognised if **present obligation** + FV reliable — **even if outflow not probable** (unlike Ind AS 37)
Exceptions to FV	Deferred tax (Ind AS 12), employee benefits (19), indemnification assets, reacquired rights, share-based payment (102), HFS (105), leases where acquiree is lessee (116)
Consideration	FV of cash, shares, **contingent consideration** at acquisition-date FV
Acquisition costs	Legal, due diligence, advisory → **expense**. Debt / equity issue costs → Ind AS 109 / 32

② After acquisition — what can still move goodwill?

Event	Goodwill?
Measurement period (≤ 1 yr) — new info about **facts at acquisition date**	**Yes — retrospective; restate comparatives**
Info about **events after** acquisition date	**No — P&L**
Contingent consideration classified as **equity**	**Never remeasured**
Contingent consideration **liability** — later FV change (not measurement-period)	**No — P&L (FVTPL)**
Pre-existing relationship settled (e.g., unfavourable supply contract)	Settlement gain / loss → **P&L**, excluded from consideration
Payments to selling shareholders who must **stay employed**	Post-combination **remuneration**, not consideration

⚠ TRAP

Contingent liability recognised in a BC → later measured at **higher** of Ind AS 37 amount and initial amount less income recognised. Ind AS 37's "probable" test **doesn't** apply at acquisition.

③ Facts

- → P buys **80%** of S on 1 Apr 2024 for **1,000**. S at that date: share capital 500, RE 300. Land FV exceeds book by **100**; tax **25%** → DTL 25. **NCI at FV = 230**
- → 31 Mar 2025: S's RE **450**; P's own RE **2,000**. Goodwill impaired **10%**
- → **Downstream**: S holds goods from P with P's profit 20 (URP). **Upstream**: P holds goods from S with S's profit 12. DTA at buyer's rate 25%

WN 1 · Net assets of S	At acq.	At RD
Share capital	500	500
Retained earnings	300	450
FV uplift on land	100	100
DTL on uplift (25%)	(25)	(25)
Upstream URP net of DTA (12 − 3) — S's profit, so in S's net assets	—	(9)
Net assets	**875**	**1,016**
Post-acquisition change = 1,016 − 875 = 141		

WN 2 · Goodwill	FV NCI	Prop. NCI
Consideration	1,000	1,000
NCI	230	175
Less net assets	(875)	(875)
Goodwill	**355**	**300**
Impairment 10%	(35.5)	
Carrying	**319.5**	

WN 3 · NCI (FV method)	
At acquisition	230
+ 20% × 141	28.2
− 20% × impairment 35.5	(7.1)
NCI	**251.1**

WN 4 · Group retained earnings	
P's RE	2,000
+ 80% × post-acq 141 (upstream URP already shared 80/20 inside WN 1)	112.8
− Downstream URP net of DTA (20 − 5) — **100% parent**	(15)
− 80% × goodwill impairment 35.5	(28.4)
Group RE	**2,069.4**

Trick: put **upstream** adjustments **inside WN 1** — the 80/20 split then happens automatically. Put **downstream** straight into **WN 4**.

④ Dividend from subsidiary (LDR Topic 4 — was missing)

Point	Treatment
When recognised	*Final dividend: when **shareholders approve** (AGM). Interim: when **Board declares**. Board **proposal** alone → no liability / receivable (Ind AS 10)*
Parent's SFS	*Dividend income in P&L when right established — **pre- and post-acquisition alike** (Ind AS 27 · 12). Not deducted from cost. **Impairment indicator** if dividend > sub's TCI or carrying amount > sub's net assets incl. goodwill (Ind AS 36 · 12(h))*
CFS	*Parent's dividend income (80) **eliminated** against sub's RE; NCI's 20% share **reduces NCI** (cash left the group)*
*Declared, **not yet paid** at RD*	*Eliminate parent's receivable vs sub's payable (80); NCI's 20% stays as a **liability** in CFS*
*Declared by sub **after** RD*	*Not recognised at RD by either — non-adjusting*
***Cumulative pref.** held by NCI*	*Deduct their dividend before parent's share, **declared or not** (B9S) — LDR Topic 1*

⑤ PPE transfer within group (LDR Topic 3)

P (downstream) sells machine CA 300 to S for 400 on 1 Apr 2024; remaining life 5 yrs; tax 25%.

Item	Year 1 (FY 24-25)	Year 2
Unrealised gain eliminated	*(100) from P&L*	*(80) from **opening RE***
Excess depreciation (400 − 300) ÷ 5 reversed	*+20*	*+20 P&L; opening already net*
Unrealised at year-end	***80***	***60***
DTA at S's rate on unrealised	*20*	*15*
Borne by	***Parent 100%** (downstream). If **upstream** → split parent / NCI*	

> ⚠ **TRAP**
>
> *The elimination **unwinds through depreciation** — not through sale like inventory. Every year: reverse that year's excess depreciation; carry the rest in opening RE.*

⑥ Other intra-group items

- → *Loans / interest / management fees → eliminate both sides in full; **cash / goods in transit** → bring into receiver's books first*
- → *Intra-group **loss** on sale → eliminate, but it may evidence **impairment** — then keep the loss*
- → *Guarantees by parent for sub's loan → eliminated in CFS (no separate liability)*

7 Ownership changes — same S as page 2

Event	Computation	Result
Buy 10% more (80 → 90) for 120	NCI reduced by 10/20 × 251.1 = 125.55; paid 120	**+5.55 to parent equity**
Sell 60% (80 → 20) for 1,000; retained 20% FV 330	1,000 + 330 + NCI 251.1 − (net assets 1,016 + goodwill 319.5)	**Gain 245.6 → P&L**
Step: 30% associate (CA 300, FV 360) → buy 30% more for 400	Remeasure old stake to 360; goodwill = 400 + 360 + NCI − net assets	**Gain 60 → P&L**

After loss of control, the retained 20% (FV 330) becomes the **cost of the associate** (Ind AS 28) or a financial asset (Ind AS 109).

8 Chain holdings

- → P owns 80% of S; S owns 60% of T → T is P's sub (control via S). **P's effective interest = 48%**; **NCI in T = 52%** (40% direct + 12% indirect via S's NCI)
- → **Indirect NCI** (S's 20%) also bears 20% of **S's cost of investment in T** → deduct that from NCI when computing T's goodwill / NCI
- → **Sequence**: if S bought T **before** P bought S → use T's net assets at the date **P acquired S**. If after → T's date of acquisition by S

9 Foreign subsidiary in CFS (Ind AS 21)

Item	Rate
Assets & liabilities (incl. **goodwill & FV adjustments**)	**Closing rate**
Income & expenses	Transaction rate (average if approximates)
Share capital, pre-acq reserves	Historical rate
Difference	**FCTR in OCI**, split parent / NCI

- → **Loss of control** of foreign sub → FCTR (parent share) **recycled to P&L**
- → **Partial disposal without loss of control** → proportionate FCTR **re-attributed to NCI**, not recycled
- → Intra-group monetary item with foreign sub: FX difference **stays in P&L** in CFS (can't be eliminated) — unless it's part of **net investment** (settlement neither planned nor likely) → OCI in CFS

> ✍ **Write in exam**
> "As per para B97–B99 of Ind AS 110, on loss of control the parent derecognises the assets (including goodwill) and liabilities of the subsidiary and the NCI at their carrying amounts, recognises the fair value of consideration received and of the investment retained, reclassifies amounts in OCI as required, and recognises the resulting difference as a gain or loss in profit or loss attributable to the parent."

⑩ Equity method — worked example (Ind AS 28)

I buys 30% of A for 300 on 1 Apr 2024. FY 24-25: A's profit 200, OCI 20, dividend paid 50. I sold goods to A at a profit of 40, all still in A's inventory (downstream).

Investment in A	₹ lakh
Cost	300
+ Share of profit 30% × 200	60
+ Share of OCI 30% × 20 (→ I's OCI)	6
− Dividend received 30% × 50 (reduces carrying amount, **not income**)	(15)
− Downstream URP, **investor's share only** 30% × 40	(12)
Carrying amount	**339**

- → Goodwill inside the investment — **not amortised**, not tested separately; **excess of share of net FV over cost** → income in the period acquired
- → Share of losses beyond carrying amount → apply first to **LTI** (after Ind AS 109 applied to them); then stop unless legal / constructive obligation; resume only after unrecognised losses are covered
- → Reporting date gap ≤ **3 months**; uniform policies; potential voting rights ignored for share computation

⑪ Joint operation numbers (Ind AS 111)

*A and B each own 50% of a pipeline under a **joint operation**; total cost 1,000, revenue 300. A records: asset **500**, its share of revenue 150 and expenses — **no investment line, no equity method**. Acquisition of an interest in a JO that is a **business** → apply Ind AS 103 principles (goodwill, DT, costs expensed).*

⑫ Bargain purchase & reverse acquisition (Ind AS 103)

Case	Treatment
Bargain purchase: net assets 1,100, consideration 800, NCI (prop.) 220	Reassess all measurements first. Gain = 1,100 − 800 − 220 = **80** → **OCI, accumulated as capital reserve** if clear evidence of reasons; else **directly to capital reserve** (Indian change)
Reverse acquisition	Legal parent (issues shares) = accounting **acquiree**. Consideration = FV of shares the **legal subsidiary would have had to issue** to give legal parent's owners the same % . CFS = legal sub's FS continued; equity structure (no. & type of shares) = legal parent's
Common control	Appendix C — pooling of interests (see Ind AS 110 notes page 4)

Subsidiary URP → eliminate **100%**. Associate URP → eliminate only **investor's share.**